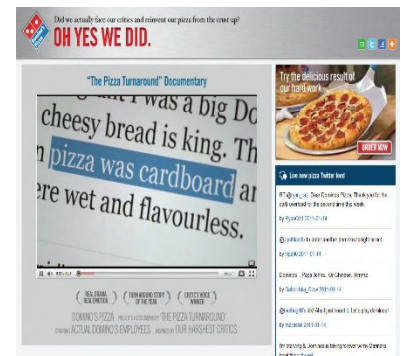


Analyzing Consumer Markets

LEARNING OBJECTIVES

1. How do consumer characteristics influence buying behavior?
2. What major psychological processes influence consumer responses to the marketing program?
3. How do consumers make purchasing decisions?
4. In what ways do consumers stray from a deliberative, rational decision process?



WHAT INFLUENCES CONSUMER BEHAVIOR?

- Consumer behavior
 - The study of how individuals, groups, and organizations select, buy, use, and dispose of goods, services, ideas, or experiences to satisfy their needs and wants
 - Influenced by cultural, social, and personal factors

WHAT INFLUENCES CONSUMER BEHAVIOR?

- Cultural factors
 - Culture
 - Subcultures
 - Social classes



WHAT INFLUENCES CONSUMER BEHAVIOR?

- Social factors

Reference groups

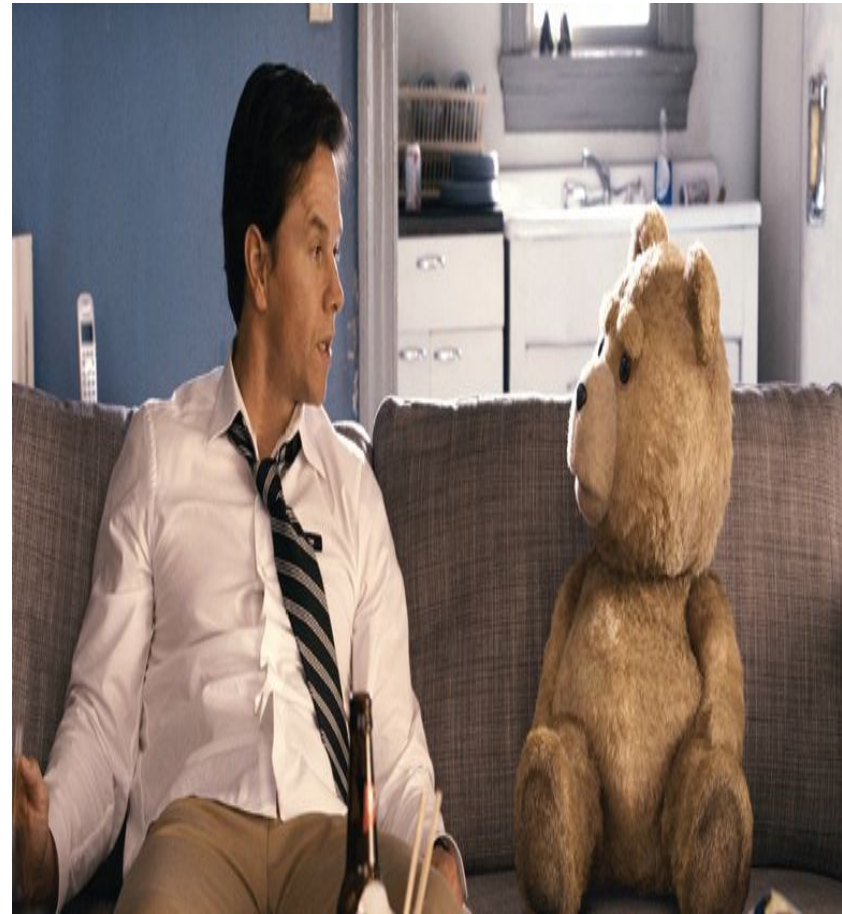
Cliques

Family

Roles and status

REFERENCE GROUPS

- Membership groups
 - Primary vs. secondary
- Aspirational groups
- Dissociative groups
- Opinion leader



FAMILY

- Family of orientation vs. family of procreation



WHAT INFLUENCES CONSUMER BEHAVIOR?

- Personal factors
 - Age/stage in life cycle
 - Occupation and economic circumstances
 - Personality and self-concept
 - Lifestyle and values



KEY PSYCHOLOGICAL PROCESSES

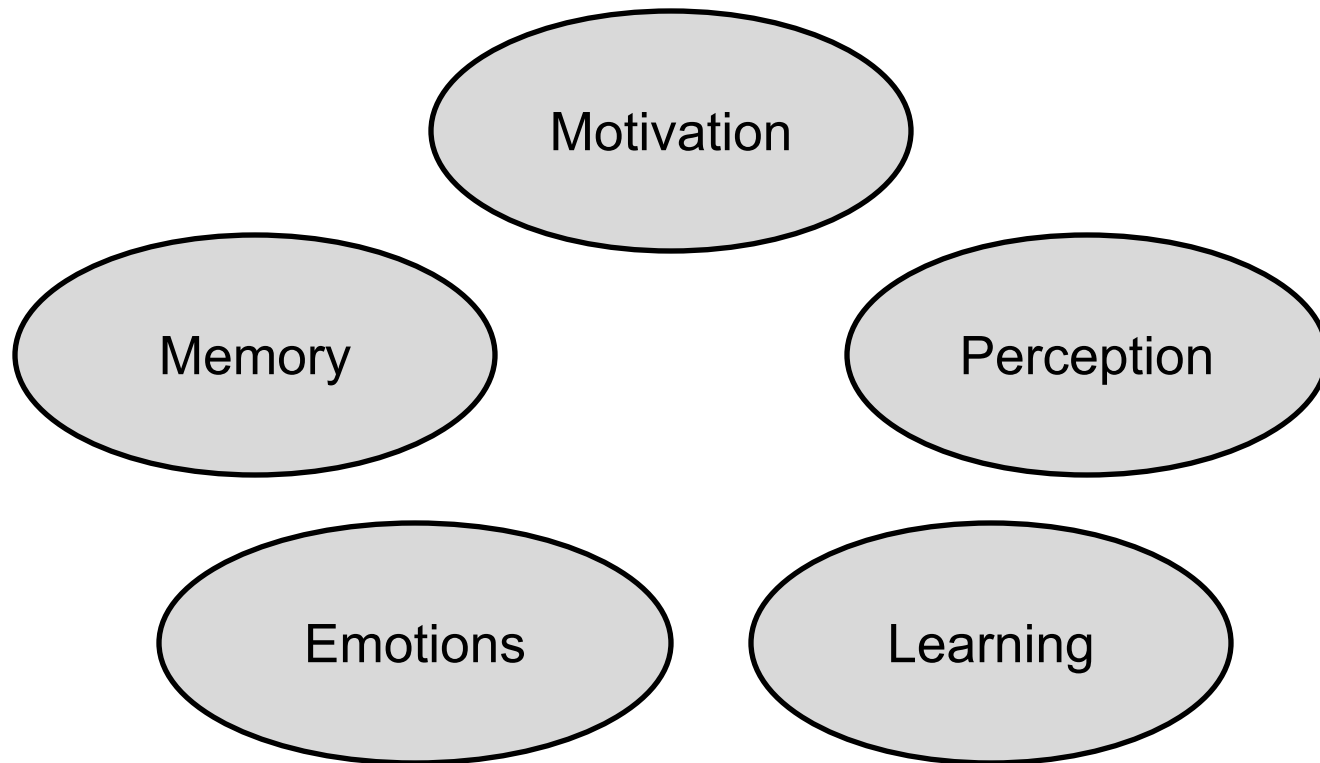
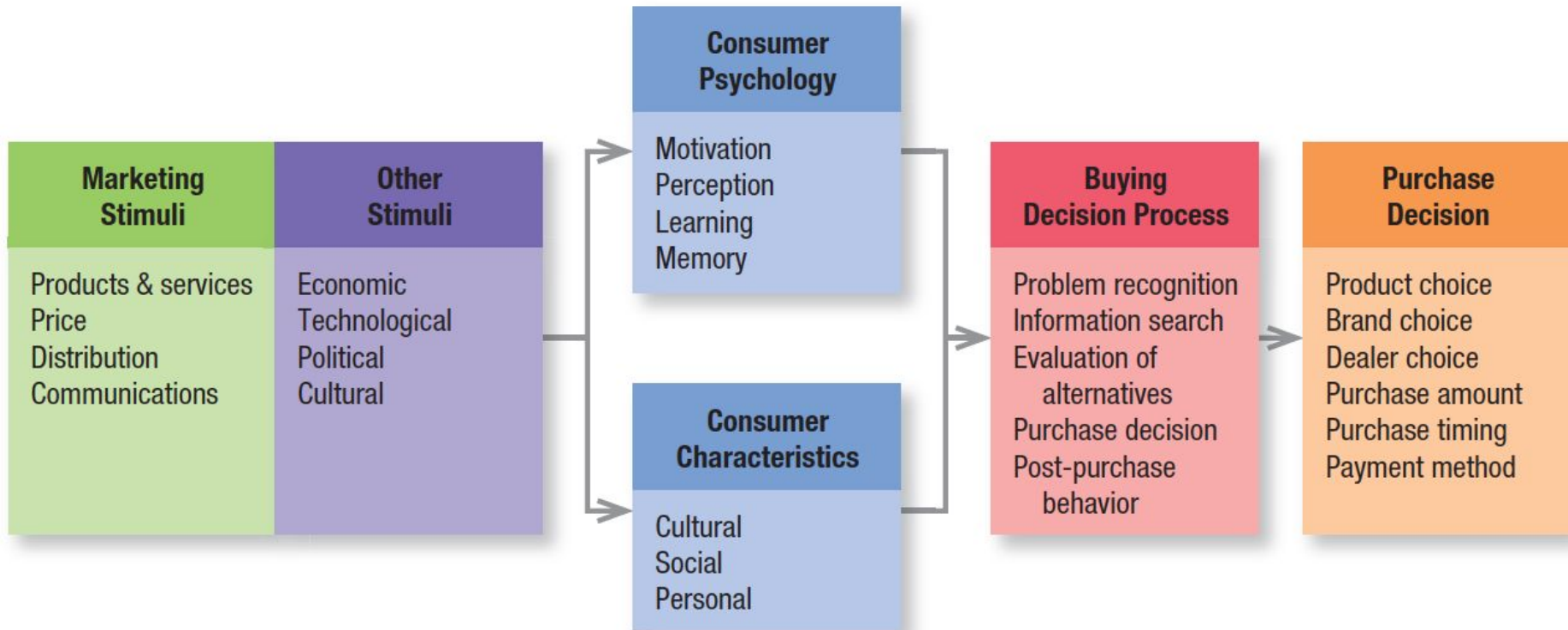


FIGURE 6.1

MODEL OF CONSUMER BEHAVIOR



KEY PSYCHOLOGICAL PROCESSES

- Motivation
 - A need becomes a motive when it is aroused to a sufficient level of intensity to drive us to act



MOTIVATION

Freud's Theory

Behavior
is guided by
subconscious
motivations

Maslow's Hierarchy of Needs

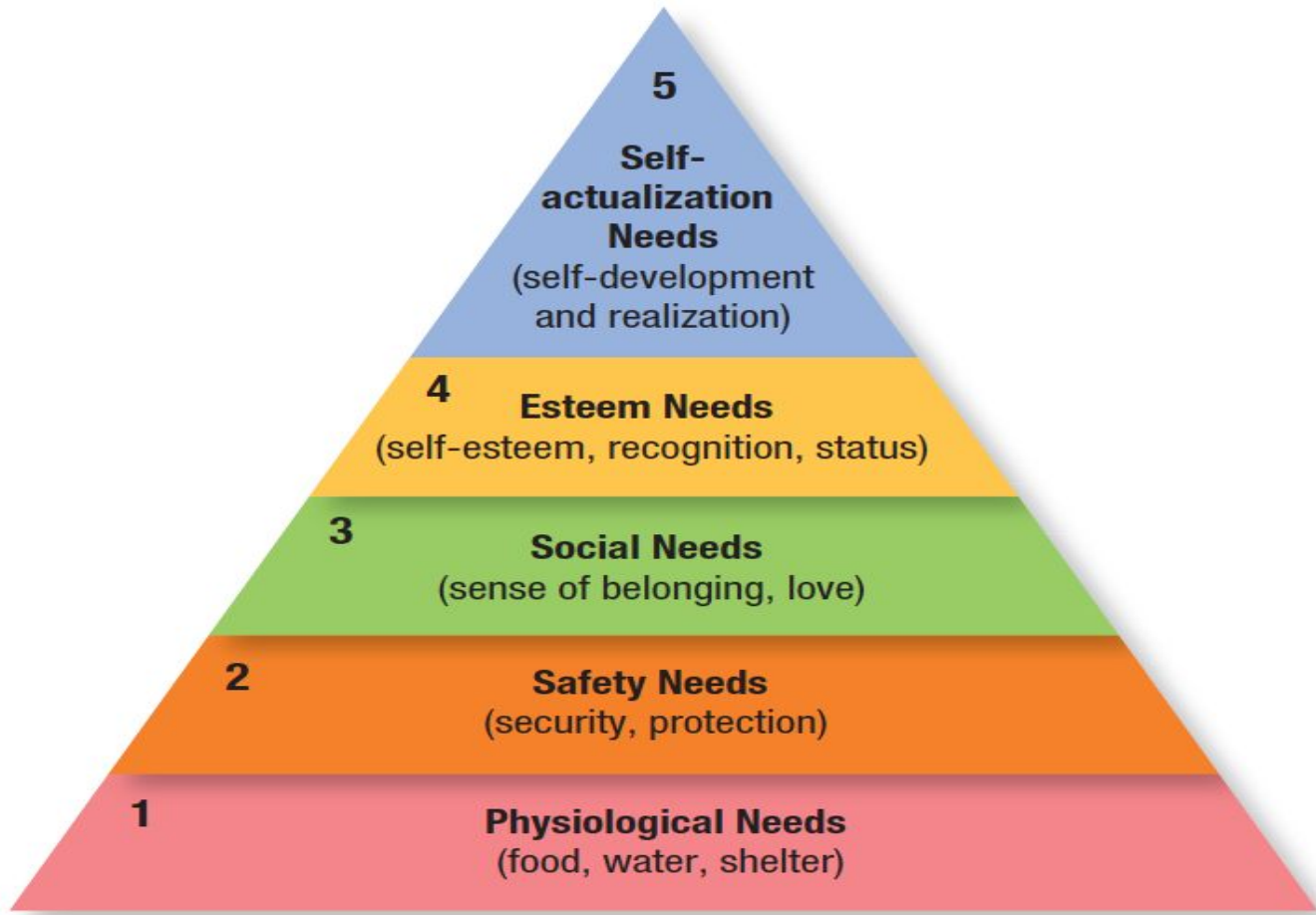
Behavior
is driven by
lowest,
unmet need

Herzberg's Two-Factor Theory

Behavior is
guided by
dissatisfiers
and
satisfiers

FIGURE 6.2

MASLOW'S HIERARCHY OF NEEDS



KEY PSYCHOLOGICAL PROCESSES

- Perception
 - The process by which we select, organize, and interpret information inputs to create a meaningful picture of the world



PERCEPTION

Selective attention

Selective distortion

Selective retention

Subliminal perception

KEY PSYCHOLOGICAL PROCESSES

- Learning
 - Induces changes in our behavior arising from experience
 - Drive and cues
 - Generalization and discrimination

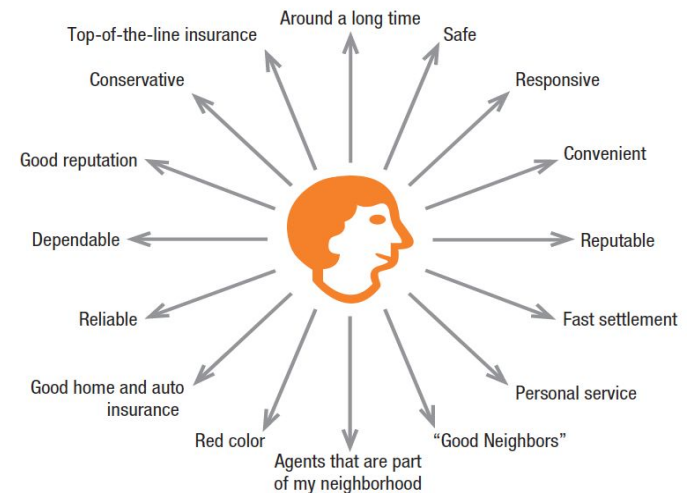
KEY PSYCHOLOGICAL PROCESSES

- Emotions
 - Many different kinds of emotions can be linked to brands



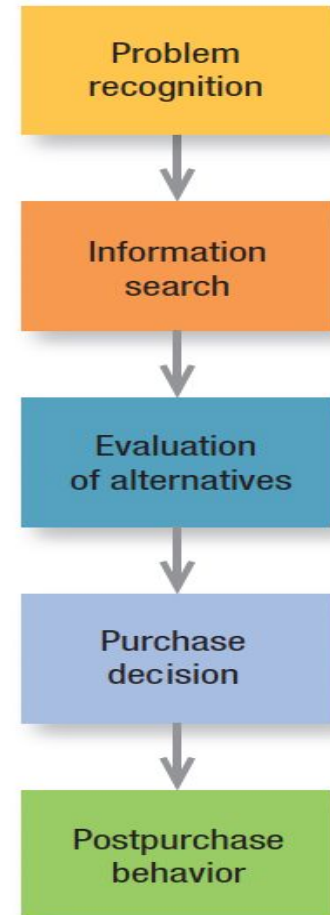
KEY PSYCHOLOGICAL PROCESSES

- Memory
 - Short-term vs. long-term memory
 - Associative network memory model
 - Brand associations
 - Memory encoding
 - Memory retrieval



THE BUYING DECISION PROCESS

- The consumer typically passes through five stages
 - Problem recognition
 - Information search
 - Evaluation of alternatives
 - Purchase decision
 - Postpurchase behavior



THE BUYING DECISION PROCESS

- Problem recognition
 - The buyer recognizes a problem/need triggered by internal/external stimuli



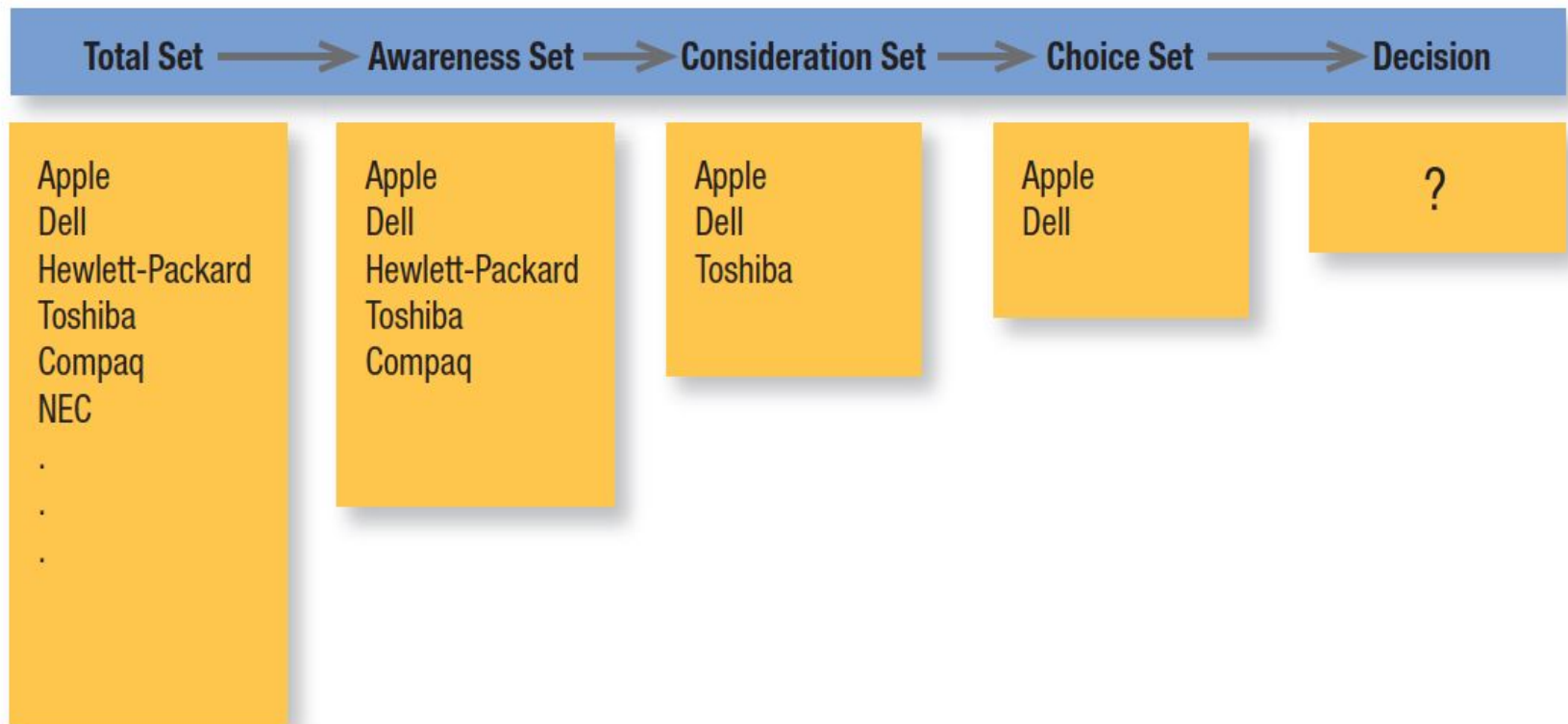
THE BUYING DECISION PROCESS

- Information search

- ✓ Personal sources
- ✓ Commercial sources
- ✓ Public sources
- ✓ Experiential sources

FIGURE 6.5

SETS INVOLVED IN DECISION MAKING



THE BUYING DECISION PROCESS

- Evaluation of alternatives
 - Expectancy-value model

TABLE 6.3 A Consumer's Brand Beliefs about Laptop Computers				
Laptop Computer	Attribute			
	Memory Capacity	Graphics Capability	Size and Weight	Price
A	8	9	6	9
B	7	7	7	7
C	10	4	3	2
D	5	3	8	5

THE BUYING DECISION PROCESS

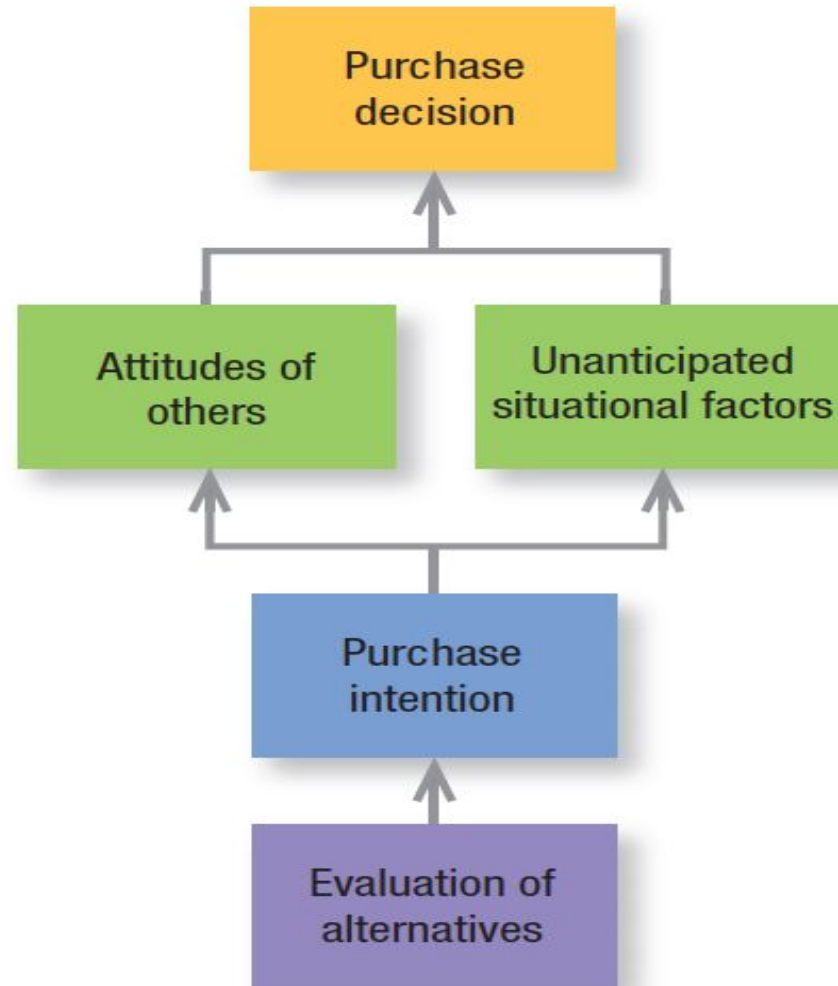
- Purchase decision
 - Compensatory vs. noncompensatory models

Conjunctive heuristic

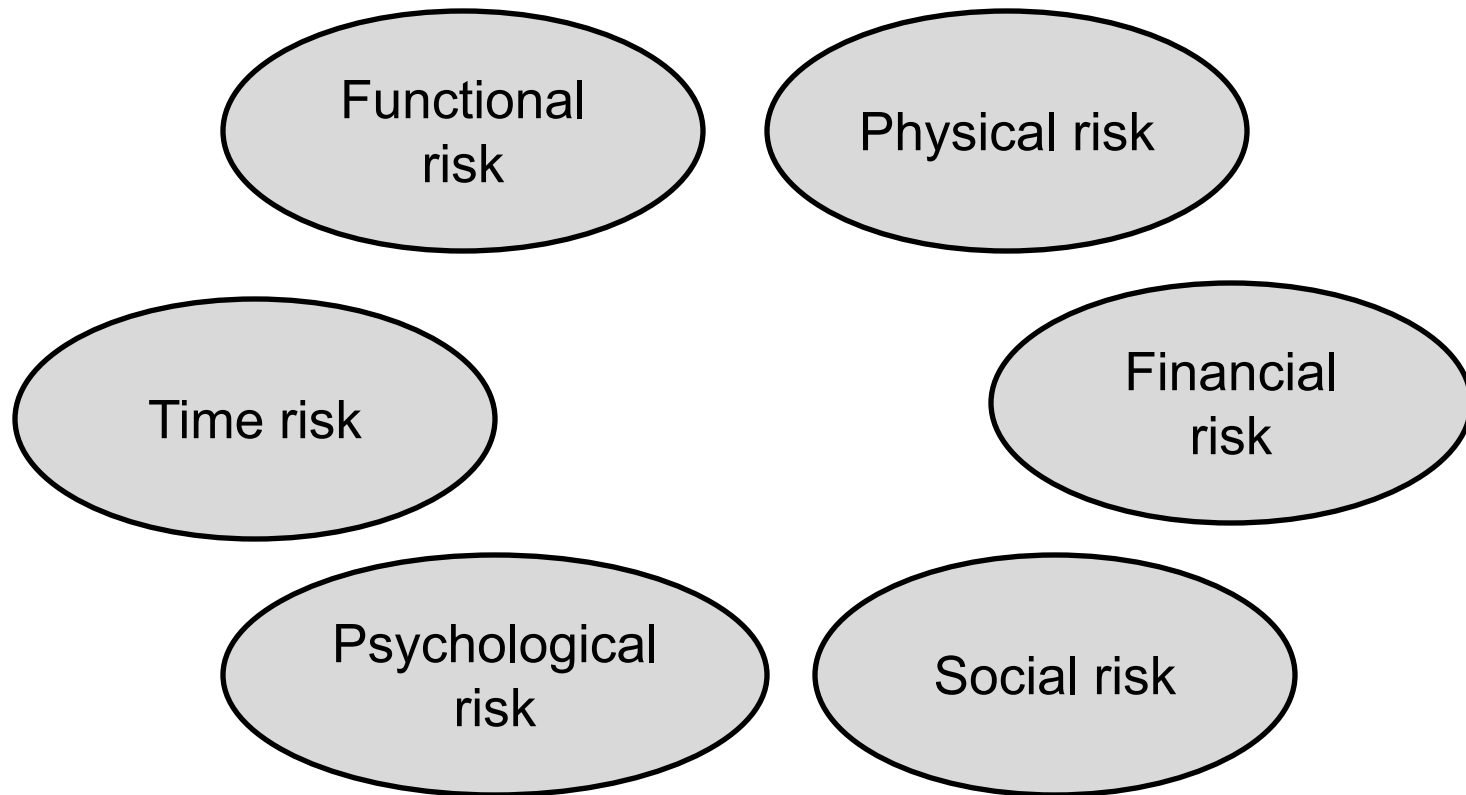
Lexicographic heuristic

Elimination-by-aspects heuristic

INTERVENING FACTORS



TYPES OF PERCEIVED RISK



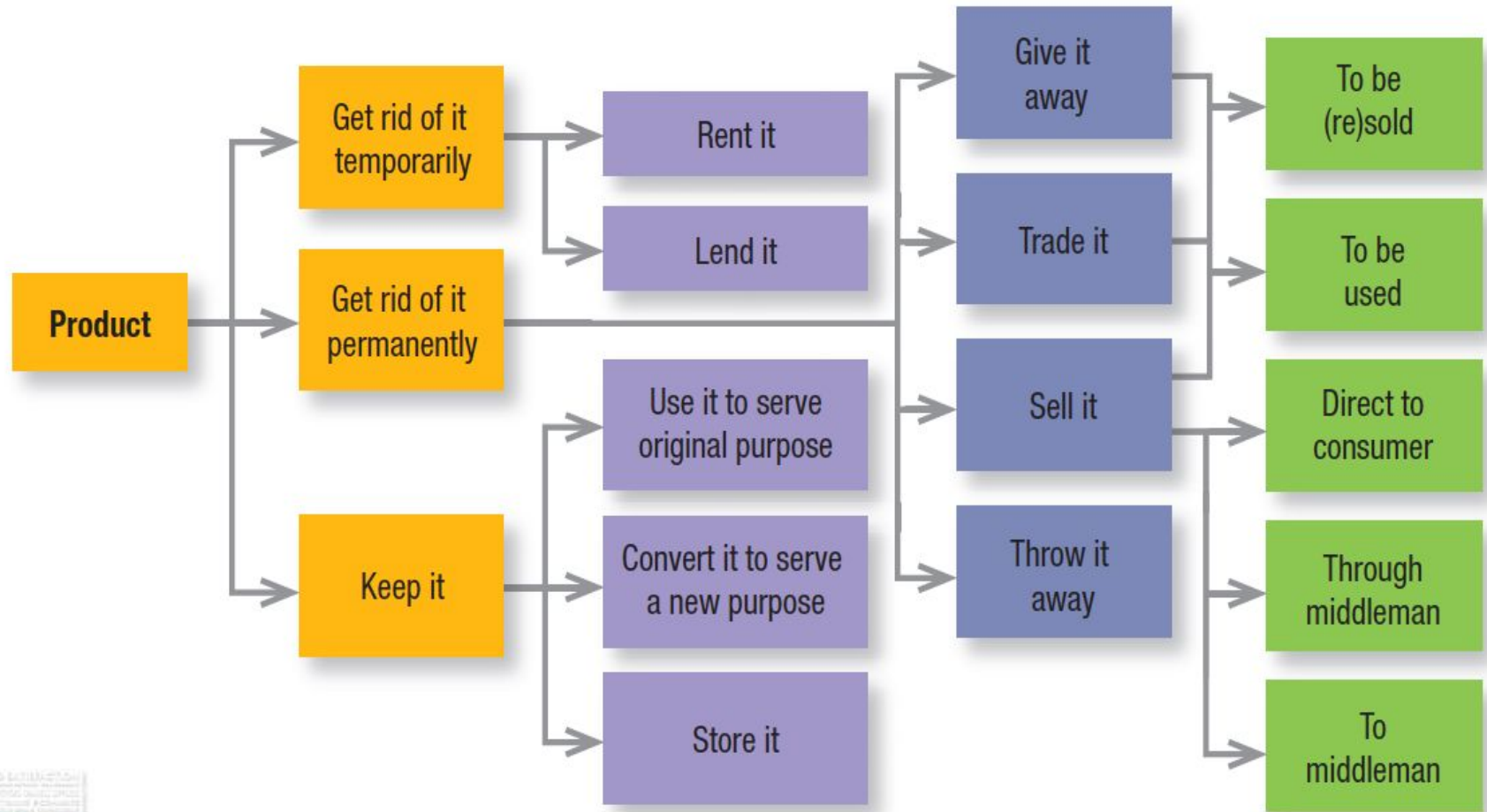
THE BUYING DECISION PROCESS

- Postpurchase behavior
 - Postpurchase satisfaction
 - Postpurchase actions
 - Postpurchase uses and disposal



FIGURE 6.7

CUSTOMER PRODUCT USE/DISPOSAL



MODERATING EFFECTS ON CONSUMER DECISION MAKING

- Low-involvement Consumer Decision Making
- Variety-Seeking Buying Behavior



BEHAVIORAL ECONOMICS

- Decision Heuristics
 - Availability heuristic
 - Representativeness heuristic
 - Anchoring and adjustment heuristic
- Framing
 - Mental accounting





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